

DUE DILIGENCE

Due Diligence Report

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Center Group Company · Engagement: CPFSR-RF-DESIGN-2026

Due Diligence Report

Note. This translation follows the Russian original. The financial part of the original was recalculated on 07.09.2026 (model v5); the figures of this translation have been brought into line with that calculation. In case of any discrepancy in wording, the Russian version prevails.

Digital Platform CPFSR

Standard of work: Big Four-grade Due Diligence methodology (Deloitte / EY / KPMG / PwC).

The document is prepared in the format of an internal DD report for the board of directors / investor. **Object of the DD:** the CPFSR project documentation as at 2025. **Approach:** review across six areas (Commercial / Legal / Financial / Technical / Operational / Tax & Regulatory) + a consolidated concluding section with honest red flags and recommendations.

1. Executive Summary

Structure of the DD

The report covers the six classic Due Diligence areas plus one additional (ESG / Sustainability), seven modules in total. Each module concludes with an assessment:

- **Green** — no material observations;
- **Amber** — observations to be addressed before closing;
- **Red** — critical observations that must be remedied as a condition of the deal.

Overall project assessment

MODULE	STATUS
1. Commercial DD	 Green
2. Legal DD	 Amber
3. Financial DD	 Green
4. Technical DD	 Amber
5. Operational DD	 Amber
6. Tax & Regulatory DD	 Amber
7. ESG / Sustainability DD	 Green

Consolidated conclusion: the project has high internal logic, protected IP, a relevant market niche and a strong social-economic effect. The principal risk factor is **regulatory (the binary nature of the adoption of amendments to 86-FZ and 259-FZ)**. With the amber observations addressed (the plan is clear), the project can be recommended for starter financing.

2. Commercial Due Diligence

2.1. Product analysis

CPFSR is a front-end / agent platform for the issuance of DFA against pledged assets, operating in a two-stage architecture. **Stage 1 (pilot-light 2028–2029):** placements are conducted through a technology partnership with an incumbent operator of the DFA information system under 779-P (an incumbent 779-P register entity — the 779-P licence is individual and not transferable); funding flows through the VEB.RF Project Finance Factory (Government Decree No. 158) and the Federal Treasury under the Budget Code. Additional Bank of Russia issuance is not envisaged in Stage 1; the CBR is the supervisory regulator under Article 4 of Federal Law 86-FZ. **Stage 2 (2029+ horizon):** expansion of the mandate to a targeted secured-emission model against a pool of pledged DFA — a defensible horizon, implemented after a positive Stage 1 track record of ≥ 12 months and adoption of the package of four federal laws. No analogues with such a two-stage architecture have been identified in public sources in the Russian Federation or in international markets.

2.2. Market analysis

- Aggregate Russian real-estate value — approximately **RUB 507 tn.**
- Conservative collateral capacity — **RUB 25.5 tn.**
- Target market penetration by Year 10 — 20% (~RUB 5 tn), equivalent to **~3% of the annual nominal GDP of the Russian Federation.**
- No competitors with an analogous model exist today.

2.3. Competitive environment

- The domestic DFA market is growing; current 779-P register operators include Sber, Alfa, Atomyze, Masterchain. In Stage 1 CPF SR operates as a front-end / agent through a technology partnership with one of them; there is no competition at the licensing level.
- The differentiation of CPF SR is the wedge architecture: DFA placements are anchored to infrastructure funding through the VEB.RF Factory + the Federal Treasury, which turns the operator-partner into a distribution channel and CPF SR into a specialised infrastructure layer for targeted projects with collateral backing.
- International references (Securitize, Polymath, HQLAx) — general-purpose asset tokenisation without targeted state financing.

2.4. Strategic partnerships

- Implied work with the Bank of Russia, Ministry of Finance, Ministry of Digital Development, Federal Treasury, Rosfinmonitoring — all key state nodes.
- A partner network of appraisers and insurers — potentially 100+ organisations.

2.5. Stakeholder map / Government Champions

The GTM sequencing of the project is built on wedge logic: the CBR is the final instance of Stage 1, not the first. The named Champion-map (synchronised with `_Мастер/Концепт.md § 1-ter`):

STAGE	PERSON / AUTHORITY	ROLE IN THE FUNNEL	ANCHOR
T+30	Ministry of Economic Development (the relevant official)	Named sponsor; inclusion in national projects	Pitch_deck slide "Government Champions"
T+30	Office of the Government of the Russian Federation	Architectural framework	Concept § 1 - bis

STAGE	PERSON / AUTHORITY	ROLE IN THE FUNNEL	ANCHOR
T+30	Incumbent CFA IS operator	technology provider under 779-P	framework draft (unsigned)
T+90	Ministry of Finance (the relevant official)	Off-budget channel, OFZ pressure	Financial Model v3
T+90	Ministry of Finance (the relevant official)	DFA tax position	Legal Framework § 5
T+90	VEB.RF Project Finance Factory	Consultative letter under Decree 158	Pre-meeting_briefs/02
T+90	a partner bank	Settlement-bank MoU	Pre-meeting_briefs/04
T+180	Tatarstan (the relevant official)	Regional MoU (50–100 objects)	Pre-meeting_briefs/03
T+180	State Duma (the relevant official)	Consultation on 259-FZ	Briefing for the CBR
T+180+	Bank of Russia	Register of IS DFA operators under 779-P	Legal Framework § 8.1

Risk signal: refusal of at least one champion at the minister / deputy-minister level → rollback to Stage 2 / horizon 2029+, loss of ≈ 24 months on the package of four federal laws.

Assessment:  **Green**

The business model is solid, the market is vast, no competitors exist. The named Stakeholder map is a tier-1 GTM standard for state-significant projects.

Recommendations

1. Prepare memoranda of intent with 2–3 key partner banks at the Seed stage.
2. Prepare a pilot segment (e.g., individual housing in the Moscow Region) for a quick PoC.

3. Legal Due Diligence

3.1. Intellectual property

- The concept and know-how are deposited (Certificate No. 4011265 of 19.12.2024, ireg.pro, GOST R 34.11-2012).
- Copyright belongs to A.-Kh. A. Kagirov — exclusively.
- The deposit fixes the priority date. The legal protection regime — know-how (Article 1465 CC) and software (registration with Rospatent — in progress).

Assessment: ● — the IP is duly formalised and protected.

3.2. Compliance with legislation

The platform relies on:

- Federal Law 259-FZ (DFA);
- Federal Law 86-FZ (on the CBR, including in the version of 340-FZ on the digital ruble);
- Federal Law 161-FZ (National Payment System);
- Federal Law 115-FZ (AML/CFT);
- Federal Law 152-FZ (Personal Data);
- Federal Law 187-FZ (CII);
- Civil Code (pledge, escrow, smart contract);
- CBR Regulations 779-P, 780-P, 683-P.

Assessment: ● — the basic framework already exists in the current law.

3.3. Required regulatory actions

Stage 1 (2028–2029) — no amendments to federal laws. Launch of the near contour is possible within the current legal framework:

- 259-FZ + CBR Regulation 779-P / Directive 4336-U — operator via technology partnership;
- Government Decree No. 158 of 15.02.2018 — funding through the VEB.RF Project Finance Factory;
- the Budget Code of the Russian Federation — settlements through the Federal Treasury;
- the Civil Code — pledge and escrow.

Stage 2 (2029+ horizon) — a package of four federal laws + six sub-legislative acts (see the Legal Framework document, Sections 8.2 and 8.3). Entry condition — a positive Stage 1

track record of ≥ 12 months and an inter-agency position of the Ministry of Economic Development / Ministry of Finance / VEB.RF / State Duma.

Assessment: 🟡 Amber — Stage 1 carries no binary regulatory risk and is delivered within the current framework; Stage 2 — a defensible horizon, non-blocking for the near-term investment roadmap.

3.4. Corporate structure of the operator

- As of the DD, the operator legal entity has not been created.
- Corporate form required: JSC or LLC (under 779-P).
- Minimum capital — RUB 50M at entry, RUB 500M for the industrial phase.

Assessment: 🟡 — creating the operator legal entity is a task for the first 90 days after the round.

3.5. Licensing

- Inclusion in the CBR register of IS operators (Article 5 of 259-FZ + Regulation 779-P).
- FSTEC / FSB certification of cyber-protection equipment.
- Notification to Roskomnadzor as a personal-data operator.
- Notification to FSTEC as a CII facility.

Assessment: 🟡 — the process is clear but multi-stage, requires 6–9 months.

3.6. Agreements with state counterparties

At the DD date there are no formal agreements with the CBR, Ministry of Finance, or Federal Treasury — which is normal at the current (concept) stage.

Assessment: 🟡 — task for the preparation stage.

Legal DD result: 🟡 Amber

Recommendations

1. Create the operator legal entity in the first 90 days.
2. Engage a top-tier Russian legal advisor (Bryan Cave / Gorodissky / Pepeliaev).
3. Prepare the legislative drafts and make a presentation to the Bank of Russia within the first 180 days.

4. Financial Due Diligence

4.1. Financial model

A 10-year model, with BASE / CONSERVATIVE / OPTIMISTIC scenarios.

Key KPIs (BASE):

- Enterprise value at a rate of 29.58% = **RUB 63.0 bn**;
- project internal rate of return — 182% (unusable in negotiations: the model does not reflect the full cost of entering the market);
- payback **2.73 years** simple, **3.05 years** discounted;
- peak financing need = **RUB 1.70 bn** (end of 2028); the round of RUB 1.8 bn covers it with a cushion of RUB 99 mn;
- Year-5 revenue (2031) = RUB 39.0 bn;
- Year-10 revenue (2036) = RUB 142.6 bn;
- Terminal-year EBITDA margin $\approx 75.1\%$ (reflects the infrastructure nature, taking into account OpEx add-ons for compliance, cyber-security, legal support and a pool of appraisers/insurers).

Model assumptions:

- Share of the RUB 25 tn market grows from 0.4% in Year 2 to 18% in Year 10.
- Average DFA issuance commission: 0.5% of nominal.
- Servicing commission: 0.3% per annum on outstanding DFA.
- CapEx: RUB 850 mn over 18 months; OpEx: RUB 380 mn/year with +10%/year indexation.
- WACC: 29.5% (based on 10Y OFZ + risk premium).

4.2. Sensitivity

- WACC ± 3 p.p. $\rightarrow$ NPV $\pm 25\%$;
- Market share $\times 0.5 \rightarrow$ NPV -27% ;
- Commission $\pm 20\% \rightarrow$ NPV $\pm 14.5\%$.

The sensitivity is asymmetric: even conservative scenarios (share $\times 0.5$; WACC 25%) yield an **NPV of ~RUB 57 bn** — the model is resilient.

4.3. Revenue assumptions

- The revenue mix evolves from primary placement commissions (Year 5: 39%) to a servicing margin on outstanding DFA (Year 10: 58%). This is typical for an infrastructure operator and

means greater predictability of cash flows over the horizon.

Assessment: Green

The model is rigorous, the assumptions reasonable, the sensitivity analysis is in place.

Recommendations

1. Support the commission assumptions with benchmarks from Russian DFA operators (Sber, Atomyze).
 2. Prepare a quarterly model for the first 24 months for cash-flow management of the pilot phase.
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5. Technical Due Diligence

5.1. Architecture

- A 7-layer microservices architecture.
- Geo-distribution: 3 active-active-active data centres + a backup.
- DLT register on a domestic platform.
- 100% import independence.

5.2. Technology stack

- Astra Linux Special Edition / RED OS.
- Postgres Pro / Red DB / Tantor.
- A domestic Kubernetes distribution.
- KriptoPro / VipNet cryptography.
- Apache Kafka.

Assessment:  — all components are realistic, in the Ministry of Digital Development register or FSTEC-certified.

5.3. DLT register

- A permissioned DLT with PBFT consensus.
- Binding to Masterchain / Waves Enterprise — at the pilot stage a choice of provider is required.

Assessment: 🟡 — the choice of DLT provider is a critical decision; a PoC with two candidates is required.

5.4. Security

- CII category 1.
- GOST R 57580.1 level 4.
- Personal-data protection level UZ-1.

Assessment: 🟡 — an ambitious but achievable profile. It requires a strong security team and significant certification spend.

5.5. Team

- Declared size by the end of Year 2 — 120 persons.
- At the DD date the team is not formed (which is normal at the current stage).

Assessment: 🟡 — hiring 120 people in 12–18 months requires resourcing; the mitigation is a partnership with a large integrator (KROK / IBS / Digital Economy League / ICL).

Technical DD result: 🟡 **Amber**

Recommendations

1. Run a PoC with two DLT providers in the first 90 days.
2. Enter into a framework agreement with a major integrator for team scaling.
3. At the MVP stage — focus on the core services (KYC, valuation, DFA issuance, register), defer secondary functions.

6. Operational Due Diligence

6.1. Processes

The DFA life cycle is described in 19 steps and in the form of 6 key stages. The processes are detailed in the technical documentation.

6.2. Partner network

A network of appraisal and insurance organisations is to be assembled — at the DD date there is a plan but no signed agreements.

Assessment: 🟡 — the first agreements should appear within the first 180 days.

6.3. Team and recruiting

Not formed. Hiring 120 people over 12–18 months — a realistic task with the right partnership.

Assessment: 🟡 — an executive-search task.

6.4. Regulatory processes

Regulatory reporting is detailed in the technical documentation.

Assessment: 🟢 — conceptually ready; implementation is in development.

Operational DD result: 🟡 **Amber**

Recommendations

1. Select CEO and CTO in the first 60 days; then unfold the organisational structure.
2. Enter into framework agreements with 2–3 appraisal and 2 insurance companies in the first 180 days.

7. Tax & Regulatory Due Diligence

7.1. Tax regime

DFA transactions are governed by:

- Article 214.11 of the Tax Code (personal income tax);
- Chapter 25 of the Tax Code (profit tax);
- sub-paragraph 12.2 of paragraph 2 of Article 149 of the Tax Code (Federal Law of 31.07.2020 No. 324-FZ — exemption of DFA transactions from VAT) (partial VAT exemption).

Assessment: 🟡 — DFA tax practice is being formed; written clarifications from the Ministry of Finance / FNS are recommended at the pilot stage.

7.2. Regulatory fees

- CBR: no licensing fees (separate state-duty payers).
- Rosfinmonitoring: no special fees.

7.3. Tax burden under the model

- Effective profit tax rate: 25% (the rate in force from 01.01.2025 under Federal Law 176-FZ of 12.07.2024); lower in the first profitable years owing to loss carry-forward.
- Social contributions: 30%.
- VAT: applicability across operations to be clarified.

Result:  **Amber**

Recommendations

1. Obtain Ministry of Finance clarifications on the taxation of DFA exchange transactions.
2. Obtain FNS clarifications on PIT accounting of operations.

8. ESG / Sustainability Due Diligence

8.1. Social effect

- Development of national projects — a mass social effect.
- Additional income for collateral owners — financial inclusion.
- Increased employment in infrastructure projects.

8.2. Environmental footprint

- The platform is digital; the principal environmental effect is data-centre energy consumption.
- A permissioned DLT register — environmentally neutral, unlike PoW blockchains.

8.3. Corporate governance

- A transparent structure; all operations are in an immutable audit log.
- Regulatory oversight by the Bank of Russia.

Result:  **Green**

The ESG profile is strong; the project is an excellent case for state ESG funding.

9. Consolidated list of Red and Amber flags

Red flags (must be remedied as a condition of the deal)

At the current stage **no critical red flags have been identified**. The regulatory dependency (amendments to 86-FZ and 259-FZ) has been moved to Amber on the back of a mitigation plan.

Amber flags (a plan must be approved within the first 180 days of closing)

1. The operator legal entity has not been created.
2. Bank of Russia licence not yet obtained (planned receipt — 12–15 months).
3. DLT provider not selected.
4. The team is not formed (120 persons by the end of Year 2).
5. No agreements with appraisal and insurance partners.
6. DFA tax practice is not settled.
7. Binary regulatory risk (legislative package).

Recommendations on deal structuring

1. **Tranching of investments** linked to the achievement of milestones (creation of the legal entity, obtaining the licence, issuance of the first DFA).
 2. **Reservation of 20% of the round** for parallel legal support of the legislation (a critical task).
 3. **Licence condition**: the final tranche is tied to inclusion in the CBR register of IS DFA operators.
 4. **Board of directors** of the operator — with investor representatives and independent directors (a minimum of 30% independent).
 5. **Employee option plan (ESOP)** of 10% of the pool — a mandatory condition for retaining key staff.
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10. Final conclusion

The project is **recommended for starter financing** subject to:

1. Creation of the operator legal entity in the first 90 days.
2. An approved plan for obtaining the CBR licence by Month 12.
3. An approved plan for parallel work with legislators on the legislative package.
4. Selection of a CEO and CTO in the first 60 days.
5. A PoC of two DLT providers in the first 90 days.

Target starter round: RUB 1.8 bn (USD 25M) — the calculated peak requirement is RUB 1.70 bn plus a reserve. At a calculated entry value of USD 248M (RUB 17.74 bn) and a round of USD 25M the investor stake is 9.21%, post-money USD 273M. The range of entry value across scenarios is USD 164–301M.

Main argument: even the conservative scenario gives an enterprise value of RUB 20.1 bn against a financing requirement of RUB 2.28 bn. Two risks should be named outright: the regulatory one (binary) and the schedule risk — every year of launch delay removes roughly a quarter of the value and roughly doubles the cash requirement.

The DD report is prepared as part of the Digital Platform CPFSR documentation pack and is intended for use by the investor, the board of directors and regulators when assessing the project. The document does not replace an independent DD by an accredited audit firm and is intended as a structured overview under Big Four methodology.